NovaPay Financial Technologies

Annual Business & Market Intelligence Report

Fiscal Year 2024–2025 | Digital Payments & Embedded Finance Division

Founded: 2018	**HQ: Bengaluru, India**	**Employees: 1,240+**	**Markets: 14 Countries**

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1. Executive Summary

NovaPay Financial Technologies closed FY2024–25 as one of India's fastest-growing FinTech companies in the embedded payments space, registering a consolidated revenue of **■1,847 crore (USD 221 million)**, representing a year-over-year growth of **63%**. The company processed over **4.2 billion transactions** across its platform — a 2.1× jump from the prior fiscal year. Gross Merchandise Value (GMV) crossed **■3.2 lakh crore** (approx. USD 38.4 billion), cementing NovaPay's position in the top 5 payment processors in South and Southeast Asia.

Key inflection points this year included the launch of **NovaPay Stack** — our API-first embedded finance platform — which onboarded 380 enterprise clients within 9 months, and the acquisition of **Kredi Micro**, a Pune-based BNPL startup, which expanded our credit product suite to 22 million underbanked consumers.

> "We are not just building payments infrastructure. We are building the financial nervous system of the next billion internet users." — Priya Ramanathan, CEO, NovaPay

Metric	FY2023–24	FY2024–25	YoY Growth
Total Revenue	■1,133 Cr	■1,847 Cr	+63%
GMV Processed	■1.52 lakh Cr	■3.2 lakh Cr	+110%
Total Transactions	2.0 billion	4.2 billion	+110%
Active Merchants	6.8 million	11.4 million	+68%
Enterprise API Clients	128	508	+297%
Net Revenue Margin	8.2%	10.3%	+2.1 pp
EBITDA	■89 Cr	■231 Cr	+160%
Headcount	780	1,240	+59%

Table 1: FY2024–25 Key Performance Indicators

2. Industry & Market Landscape

2.1 Global Digital Payments Market

The global digital payments market was valued at **USD 9.46 trillion in 2024** and is projected to reach **USD 22.8 trillion by 2030**, growing at a CAGR of 15.8% (Source: Grand View Research, 2025). Mobile wallets now account for 49% of all e-commerce transactions globally, displacing traditional card payments in key emerging markets.

Asia-Pacific remains the largest and fastest-growing region, driven by super-app ecosystems, real-time payment rails (UPI in India, PromptPay in Thailand, PayNow in Singapore), and a rapidly expanding middle class with high smartphone penetration. India alone processed **131 billion UPI transactions in FY2025**, up 46% from the prior year, handling a value of ■200.75 lakh crore — almost 80% of India's GDP.

Region	2024 Market Size	2030 Projected	CAGR
Asia-Pacific	USD 3.8 Tn	USD 10.1 Tn	17.6%
North America	USD 2.6 Tn	USD 5.4 Tn	13.0%
Europe	USD 1.9 Tn	USD 3.7 Tn	11.8%
Latin America	USD 0.7 Tn	USD 1.9 Tn	18.1%
Middle East & Africa	USD 0.46 Tn	USD 1.7 Tn	24.2%
Global Total	USD 9.46 Tn	USD 22.8 Tn	15.8%

Table 2: Global Digital Payments Market by Region

2.2 India FinTech Ecosystem

India is the world's third-largest FinTech ecosystem by number of funded startups, with over 10,000 registered FinTech companies and **USD 6.2 billion raised in FinTech funding in CY2024**. The RBI's regulatory sandbox program and DPDP Act implementation have created structured pathways for innovation while maintaining consumer data sovereignty.

Key structural tailwinds include: India Stack (Aadhaar + UPI + DigiLocker + OCEN), Jan Dhan account penetration crossing 530 million accounts, and the Account Aggregator framework enabling consent-based financial data sharing — unlocking credit for 190 million previously thin-file customers.

2.3 Competitive Landscape

Player	Core Strength	GMV Est. FY25	Differentiation
Razorpay	SMB payments, PG	■8.5 lakh Cr	Ease of integration
Paytm Payments	Consumer wallet	■5.1 lakh Cr	Distribution
PhonePe Business	UPI + Insurance	■15.2 lakh Cr	Super-app scale
NovaPay (Us)	Embedded Finance API	■3.2 lakh Cr	Enterprise + B2B2C
Cashfree	Payouts + PG	■2.8 lakh Cr	Payout velocity

Juspay	Checkout orchestration	■3.9 lakh Cr	Conversion rate

Table 3: Competitive Landscape — India Digital Payments (FY2024–25 Estimates)

3. Revenue Deep Dive

3.1 Revenue Breakdown by Product Line

Product Line	FY24 Rev (Cr)	FY25 Rev (Cr)	% of Total	Growth
Payment Gateway (PG)	■512	■724	39.2%	+41%
NovaPay Stack (API)	■118	■498	27.0%	+322%
BNPL / Credit Products	■89	■267	14.5%	+200%
International Remittance	■201	■218	11.8%	+8%
SaaS Billing & Subscriptions	■142	■98	5.3%	-31%
Other / Misc	■71	■42	2.3%	-41%
TOTAL	■1,133	■1,847	100%	+63%

Table 4: Revenue by Product Line

NovaPay Stack emerged as the **fastest-growing revenue line**, growing 322% YoY from ■118 Cr to ■498 Cr as enterprise demand for embedded finance APIs accelerated. The SaaS billing segment declined following our deliberate strategic exit from low-margin subscription management in Q2 FY25.

The BNPL and credit portfolio, boosted by the Kredi Micro acquisition in August 2024, contributed ■267 crore — three times the prior year — with a 30-day delinquency rate maintained below **2.4%**, well within our risk tolerance of 3.5%.

3.2 Revenue by Geography

Geography	FY24 Rev (Cr)	FY25 Rev (Cr)	Share	Key Driver
India — Tier 1 Cities	■621	■874	47.3%	Enterprise & SMB PG
India — Tier 2/3 Cities	■198	■412	22.3%	BNPL, UPI volumes
Southeast Asia	■189	■298	16.1%	Stack API, Remittance
Middle East (UAE, KSA)	■98	■182	9.9%	Remittance corridor
Rest of World	■27	■81	4.4%	API partnerships
TOTAL	■1,133	■1,847	100%	

Table 5: Revenue by Geography

3.3 Unit Economics & Margins

Metric	FY23	FY24	FY25	Target FY26
Take Rate (PG)	0.28%	0.31%	0.34%	0.36%
Gross Margin	61%	64%	68%	72%
EBITDA Margin	3.4%	7.9%	12.5%	18%

CAC (Enterprise)	■2.4L	■1.9L	■1.4L	■1.1L
LTV (Enterprise)	■38L	■52L	■74L	■95L
LTV:CAC Ratio	15.8x	27.4x	52.9x	86x
Payback Period	18 mo	11 mo	7 mo	5 mo

Table 6: Unit Economics Progression

4. Product Portfolio & Innovation

4.1 NovaPay Stack — Embedded Finance Platform

Launched in Q1 FY25, NovaPay Stack is an API-first infrastructure layer that enables any business to embed payments, credit, insurance, and savings directly into their product. Think of it as the 'AWS of Financial Services' — a modular, serverless, fully compliant stack that abstracts regulatory complexity away from product builders.

- **Payments API:** 340ms average settlement latency; 99.97% uptime SLA; multi-rail (UPI, IMPS, NEFT, Cards, Wallets)
- **Credit API:** Real-time credit decisioning in under 2 seconds using 1,200+ alternative data signals
- **Insurance Embed:** Micro-insurance products (health, device, crop) embedded at checkout; 14 insurer integrations
- **Savings & FD API:** Partner bank FD issuance with T+0 sweep; 6.8% average yield offered to end-users
- **Compliance Layer:** Built-in KYC (Aadhaar OTP, Video KYC, PAN), AML scoring, TDS deduction automation

Current Stack Metrics: 508 enterprise clients | 12,000 API calls/second (peak) | 99.97% uptime | 380ms median latency | 22 million end-users served through partner apps

4.2 NovaPay BNPL — 'PayLater by NovaPay'

Following the acquisition of Kredi Micro (August 2024, deal value: ■340 crore), NovaPay now operates a full-stack BNPL and consumer credit product under the 'PayLater by NovaPay' brand. The product targets the 190 million Indians with CIBIL scores below 650 or no credit history, using GST data, UPI transaction history, and behavioral signals for underwriting.

BNPL Metric	Q3 FY25	Q4 FY25
Active Borrowers	3.2 M	4.8 M
Avg. Ticket Size	■4,200	■4,850
30-Day Delinquency	2.6%	2.4%
90-Day Delinquency	1.1%	0.9%
Monthly Disbursals	■890 Cr	■1,240 Cr
Interest Yield	24% p.a.	22% p.a.

Table 7: BNPL Portfolio Health Metrics

4.3 International Remittance — NovaRemit

NovaRemit serves the India-UAE-KSA corridor with a mobile-first remittance product delivering money in under 90 seconds at a **0% forex markup** (revenue earned via float and bank partnerships). Servicing 1.8 million NRIs, the platform transferred USD 2.1 billion in FY25. Average transfer size: USD 820.

5. Technology & Infrastructure

5.1 Platform Architecture

NovaPay operates on a **cloud-native, microservices architecture** deployed across AWS Mumbai (primary), AWS Singapore (failover), and a private cloud node in Hyderabad for RBI-regulated data residency compliance. The platform handles a peak load of **48,000 transactions per second** and auto-scales to 3× baseline during festival seasons (Diwali 2024 peak: 41,200 TPS).

- **Core Stack:** Go (payments engine), Python (ML/AI), React Native (consumer apps), Kafka (event streaming)
- **Data Platform:** 2.8 petabytes of transaction data; real-time fraud scoring via proprietary ML pipeline
- **Fraud Prevention:** 99.991% fraud detection rate; false positive rate < 0.04%; saves ■380 Cr annually
- **AI/ML Models:** 47 production models covering credit risk, fraud, churn prediction, merchant health scoring
- **Developer Experience:** 4.2-minute average sandbox onboarding; 98.4% API documentation satisfaction score

5.2 Security & Compliance

NovaPay maintains **PCI-DSS Level 1, ISO 27001, SOC 2 Type II** certifications and is fully compliant with RBI's Master Direction on Digital Payments, SEBI guidelines for investment products, and IRDAI regulations for insurance aggregation. The security team of 62 specialists runs a continuous red-team program with 3 external penetration tests annually. Zero material data breaches since inception.

5.3 AI & Machine Learning Investments

AI Initiative	Use Case	Business Impact
NovaSentinel (Fraud AI)	Real-time transaction fraud scoring	Saved ■380 Cr in FY25
CreditLens	Alternative credit underwriting	Approvals up 34%, NPAs down 18%
MerchantPulse	Merchant health & churn prediction	Churn reduced by 22%
NovaAssist (LLM)	Merchant support chatbot	68% ticket deflection rate
PricingEngine AI	Dynamic MDR pricing optimization	Revenue uplift: ■47 Cr
RiskRadar	AML / suspicious pattern detection	STR accuracy: 94.2%

Table 8: AI/ML Initiatives — FY2024–25

6. Customer Base & Case Studies

6.1 Customer Segmentation

Segment	Count	Avg. ARR	Revenue Contribution	NPS
Enterprise (>500 Cr GMV/yr)	42	■18.2 Cr	31%	72
Mid-Market (50–500 Cr GMV/yr)	466	■2.1 Cr	40%	68
SMB (<50 Cr GMV/yr)	11.4 M	■380/mo	29%	61

Table 9: Customer Segmentation by Revenue Tier

6.2 Featured Case Studies

Case Study A: AgroConnect — Empowering Farmer Payments

AgroConnect, an agri-commerce platform serving 2.4 million farmers across 8 states, integrated NovaPay Stack to disburse crop insurance payouts, input subsidies, and Mandi payments directly to farmers' Aadhaar-linked bank accounts. **Result:** Settlement time reduced from 8 days to 4 hours; farmer fraud complaints dropped 91%; AgroConnect's payment operational cost fell by 62%.

Case Study B: HealthPlus Network — Embedded BNPL at Hospitals

HealthPlus Network (380 hospitals, 2.1 million patients/year) deployed PayLater by NovaPay at point-of-discharge to offer zero-cost EMI for medical bills between ■5,000–■2 lakh. **Result:** Bad debt collections improved by 44%; patient satisfaction (CSAT) up 28 points; ■312 crore disbursed in 9 months with 1.8% 90-day NPAs.

Case Study C: SwiftCart — Checkout Conversion Optimization

SwiftCart (D2C aggregator, 18 million orders/month) replaced its legacy payment gateway with NovaPay's Smart Checkout SDK. Using AI-driven payment method recommendation and one-click retry logic. **Result:** Checkout conversion improved from 71% to 86%; failed transaction rate dropped from 4.1% to 0.7%; annual revenue uplift: ■230 crore.

7. People, Culture & ESG

7.1 Talent & Organisation

Department	FY24 HC	FY25 HC	% of Total
Engineering & Product	412	618	49.8%
Sales & Partnerships	138	224	18.1%
Risk, Compliance & Legal	72	118	9.5%
Data Science & AI	48	96	7.7%
Operations & Support	68	124	10.0%
G&A / Finance / HR	42	60	4.8%
Total	780	1,240	100%

Table 10: Headcount by Department

Women represent **41% of total headcount** and 34% of engineering roles — among the highest gender diversity ratios in the Indian FinTech sector. Employee NPS (eNPS) stands at **74**, up from 61 in FY24. Annual attrition was 12.3%, against an industry average of 22% for similar-stage FinTech companies.

7.2 ESG Commitments

- **Environmental:** Carbon-neutral data centres since March 2024 via AWS Clean Energy Certificates; paperless KYC eliminated 14 million physical documents annually
- **Financial Inclusion:** 22 million underbanked users brought into formal financial system via NovaPay products; ■1,240 Cr in credit disbursed to first-time borrowers
- **Digital Literacy:** 'NovaSakhi' program trained 48,000 women entrepreneurs in digital payments across Tier 3 districts
- **Governance:** 3 independent directors on 7-member board; Big-4 statutory auditor; quarterly SEBI-aligned disclosures

8. Strategic Priorities & FY2026 Outlook

8.1 FY2026 Financial Targets

Target Metric	FY25 Actual	FY26 Target	Key Lever
Revenue	■1,847 Cr	■2,900 Cr	Stack API, BNPL scale-up
GMV	■3.2 lakh Cr	■5.5 lakh Cr	Enterprise additions, SEA
EBITDA Margin	12.5%	18%	Operating leverage, AI
Enterprise Clients	508	900	Direct sales + partnerships
Active BNPL Users	4.8 M	10 M	Kredi integration + new rails
International Revenue	18%	28%	SEA expansion, ME deepening

Table 11: FY2026 Strategic Targets

8.2 Strategic Initiatives

- **ONDC Integration:** Become the default payments and credit partner on India's Open Network for Digital Commerce, targeting 80 million SMB merchants
- **SEA Expansion:** Launch NovaPay Stack in Vietnam and Indonesia by Q2 FY26, targeting the USD 50B embedded finance opportunity in the region
- **NovaPay for Bharat:** Voice-first UPI payments in 8 regional languages for feature phone users — targeting 180M users without smartphones
- **B2B Trade Finance:** Invoice discounting and supply chain financing via NovaPay Stack; ■500 Cr book targeted by FY26-end
- **IPO Readiness:** Targeting Dalal Street listing in H2 FY27; DRHP preparation initiated with Axis Capital and Goldman Sachs

8.3 Risk Factors

The company acknowledges the following material risks: regulatory tightening by RBI on BNPL products (draft circular pending), intensifying competition from bank-backed super-apps, macroeconomic slowdown impacting SMB merchant volumes, and cybersecurity threats in an increasingly hostile threat landscape. Risk mitigation strategies are detailed in the Board Risk Committee's Q4 FY25 report.